

apply it in the same matter, you'll get a closer target. Using two or three times the height gives a target farther away, one that price may struggle to reach.

Once you know the target, measure the distance from the current price to the target and change it into a percentage. For example, if the target is 54 and the current price is 45, that's a move of $9/45$ or 20%. Page back to [Table 21.3](#) for a sanity check. How often will price fail to rise more than 20%? Answer: 31%. So you have a probability of making money 69% of the time, and that's if you trade it perfectly (and it behaves like the cups I looked at. If I didn't look at them, would they behave better or worse? That's like saying Heisenberg may have slept here).

[Figure 21.5](#) (weekly scale) is an example of the measure rule in practice. Compute the cup height by taking the difference between the right cup high (point A at 19) and the cup low (point B at 10). Add the difference (9) to the right cup rim to get the price target (28). Mid-May sees price hit the target but plummet the following week.

A more conservative price target uses half the formation height. This method gives a target of just 23.50, reached during early July. The stock climbs to the nearer target quickly and without the severe declines experienced on the way to the more risky, higher price target.

Buy inner cup. [Figure 21.5](#) also shows an inner cup. If you are going to trade this chart pattern and can identify an inner cup, buy it. An inner cup appears as two widely spaced minor highs that are at about the same price level. You score as the stock advances to the old high (the price of the outer, left cup rim) and further if the outer cup-with-handle pattern succeeds with an upward breakout. Playing the inner cup shown in [Figure 21.5](#) would have boosted profits about \$2 a share or 12%.

Stop location. Once you initiate a trade, place a stop-loss order 15 cents below the handle low (note [Table 21.7](#) places the stop a penny below the handle, so the stop trigger slightly more often). The handle is a place of support and sometimes declines will stop at that point. Placing a stop just below the handle low will get you out of those situations when the stock continues tumbling. However, price will trigger the stop an average of 18% of the time, so you'll have to decide if that's the right location or not.